APRA warns house prices are falling and AI risks are rising

> The prudential regulator's November System Risk Outlook says banks and insurers are well capitalised, but warns that resilience "cannot be taken for granted".

WHAT HAPPENED

- National **house prices** have fallen about **6% since March**; most borrowers are supported by equity and repayment buffers.
- Long-term **bond yields** in advanced economies are near their highest in at least 15 years, which could lift funding costs.
- Australia's **private credit** market is estimated at $250 billion, under 4% of the banking system.
- APRA's **2027 stress test** will model AI-driven disruption and a sharp fall in technology valuations.

−6%
House prices since March

15 yrs
Bond yields near highest in

$250b
Private credit market

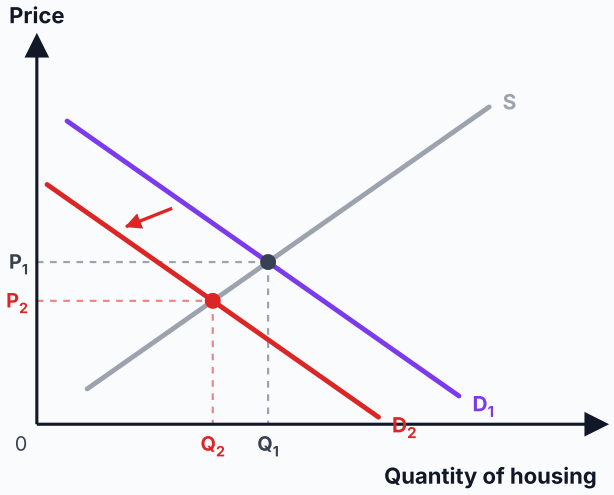
80 of 100
Key service providers offshore

KEY TERMS

Wealth effect – Spending changes as household wealth (e.g. house prices) changes.

Prudential regulation – Rules that keep banks and insurers financially sound.

DIAGRAM Higher rates cool housing demand



Higher interest rates reduce borrowing capacity, shifting housing demand from D_1 to D_2. Prices fall from P_1 to P_2.

Lower house prices reduce household wealth, so consumers spend less: the **wealth effect** helps monetary policy slow inflation. APRA's job is to make sure the fall doesn't threaten the banks.

Exam angle: Monetary policy works through the wealth and credit channels, but financial stability limits how far and how fast rates can rise.

FLOW CHART Cause and effect

Cash rate at 4.85% → Borrowing capacity falls → House prices down about 6% → Wealth effect slows consumption

SYLLABUS LINK

Topic 4 – Economic Policies and Management: monetary policy transmission (wealth and credit channels) and limitations of policy; financial stability.

TRY THIS (4 marks)

Explain how falling house prices can help monetary policy reduce inflation.

Sources: Financial Standard – APRA warns financial system faces mounting risks: https://www.financialstandard.com.au/news/apra-warns-financial-system-faces-mounting-risks-179814566 · ABC News – Regulator warns of 'interruptions' as frontier AI evolves: https://www.abc.net.au/news/2026-11-13/regulator-apra-warns-of-interruptions-as-frontier-ai-evolves/107378944